



STATEMENT OF ADVICE

Financial Planning Strategy

Prepared for:

Ms Jillian Donaldson

Of

210 Nepean Highway

ASPENDALE VIC 3196

Prepared on:

20th July 2021

By your Adviser:

Andrew Lord B Bus (Acc), Dip FS (Fin Plan)

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Authorised Representative # 324798

Pareto Group Pty Ltd

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What this document is about

This Statement of Advice (or SoA) is an important document.

- It provides you with information about our advice so you can make a decision about implementing the advice.
- It should be read in conjunction with other documents such as Product Disclosure Statements and our Financial Services Guide.

What to do after reading this Statement of Advice

Please contact us.

- If you have any questions.
- If we have omitted, overlooked or incorrectly understood any of your relevant circumstances.
- When you are ready to implement the recommendations.
- Or, if you decide you want to do something else and need our advice or assistance.

20/07/2021

Ms Jillian Donaldson
210 Nepean Highway
Aspendale VIC 3196

Dear Jillian,

I am pleased to enclose your Statement of Advice (SoA).

It is an important document that you should read and understand before making a decision to proceed further.

We have based the strategies and recommendations in this document on our understanding of your current personal and financial position. If any of this information does not reflect any part of your current position, goals and objectives please advise us immediately and we will make the necessary changes.

The SoA sets out our recommended strategies to address your needs, together with a recommended course of action to implement these strategies.

When you are ready to proceed, we would be very happy to help you with the implementation of the advice, including the completion and lodgement of application forms and other documents.

Please note, our recommendations in this Statement of Advice are valid for 30 days from the date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation again before you take any action.

Once implemented, we should review your situation on a regular basis to ensure we make the most of any changes that may impact on the strategies I have recommended for you.

Yours sincerely,

Andrew Lord
B Bus (Acc), Dip FS (Fin Plan)
Authorised Representative No 324798 of
Pareto Group Pty Ltd

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Purpose of this document

The following Statement of Advice (SoA) is an outline of the financial plan discussed with your financial planner. It details the recommendations needed to execute your plan and achieve your financial objectives.

Timeframe for our advice

Our recommendations in this SoA are valid for 30 days from the preparation date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation before taking any action.

Check for accuracy

This SoA is based on the information you provided. Please read the document carefully, checking that your details are correct and that no important facts are missing. If anything is wrong or missing, please let us know immediately—otherwise our advice may be based on incorrect information and may not be right for you.

Limitations of our advice

We cannot give advice on:

- Trust or business structures
- Taxation
- General insurance
- Direct share or property purchases
- Legal matters

Please don't consider any of this document's recommendations to be advice in any of these areas. If you need advice in these areas, please see a qualified professional in that field.

Assumptions we've made

When giving advice, we make certain assumptions to demonstrate how the advice could affect your financial situation. We've based our advice on economic information and legislation that was current when we prepared your SoA.

All dollar amounts in this SoA are in today's dollars, even when we mention future income, expenses, investment amounts and so on. Naturally we can't predict what future inflation rates will be, so we can only make assumptions based on past trends. Also, all amounts listed in this document are "p.a." (per annum) unless otherwise stated or implied.

Product selection

We are committed to giving you the best products for your situation. When preparing your advice we considered and recommended only those products on Pareto Group's "Approved Product List". This list was compiled by a dedicated Investment Review Committee, which regularly reviews it. To see the complete product list, please ask us.

Introduction

You are entitled to receive a Statement of Advice (SoA) whenever we provide you with any personal financial advice. Personal financial advice is advice that takes into account any one or more of your objectives, financial situation and needs.

This SoA is a record of the personal financial advice provided to you and includes information on the basis on which this advice is given, information about remuneration including fees, any other benefits and any interests, relationships or associations which might influence the making of the advice.

If this advice includes a recommendation to you to acquire a particular financial product (other than securities) or an offer to issue or arrange the issue of a financial product to you, we will also provide you with a Product Disclosure Statement containing information about the particular product to help you make an informed decision about that product.

The Scope of Our Advice

In this statement of advice, the main focus is on:

- Structure of investment assets

This advice is based on information we have obtained from you. You must ensure the information is accurate and complete. Otherwise, this advice may be based on inaccurate or incomplete information relating to your investment objectives, financial situation or needs. You must therefore assess whether the advice is appropriate, in the light of your own individual investment objectives, financial situation or needs.

You recognise in each of the areas of advice we provide, we only provide advice to the extent we are able to under the relevant legislation.

Our Investment Recommendations

In respect of the specific investments, we recommend as part of our advice you are entitled to a 14 day cooling off period for your initial investment. A cooling off period generally means a period of time after which you have provided your capital for investment, where you can change your mind and request for your capital to be returned to you.

Each fund manager or investment provider may implement the cooling off period in a slightly different manner. Therefore, we recommend you refer to the Product Disclosure Statement for each of the recommended investments in order to understand the operation of each provider's cooling off period.

Your Adviser

At any time should you have any questions or concerns, in the first instance please contact your adviser Andrew Lord on (03) 9596 5111.

Andrew Lord is authorised to represent Pareto Group Pty Ltd. Should you wish to discuss matters of concern about your adviser or the advice you have received please contact us on 03 9596 5111.

The Planning Process

Jill, *Financial Planning* is a process to help you reach both your Personal and Financial Goals and Objectives. In order to achieve this, we jointly need to undertake a number of tasks, including:

- ✓ Confirm your personal goals and lifestyle objectives;
- ✓ Quantify the resources required to meet your goals and objectives;
- ✓ Identify any gaps in your current plans and your stated goals and objectives;
- ✓ Develop suitable strategies to address any differences that may exist bearing in mind your attitude to investing and your risk profile;
- ✓ Conduct a regular review of the strategies we put into effect to ensure they keep pace with your changing needs, legislative changes and the investment environment.

Executive Summary

In this plan our advice considers the following areas of your financial circumstances.

Your Goals and Objectives

After our discussions I have listed below what we agreed were your key goals and objectives. The points listed below form the basis of the plan I have prepared, and therefore you should read them carefully now to ensure that we have an accurate foundation on which to proceed. If there are any modifications required, please advise us prior to the commencement of your financial plan.

Your goals and objectives are to:

- Invest your existing surplus funds under a structure that provides you with an annual income of at least \$18,720. This income is to replace the \$360 rental income per week you were receiving from your Clifton Hill investment property that has now been sold.
- Preserve your existing capital.

Personal Information

During our discussions and from the information you have provided, your Personal Details can be summarised as follows:

Personal Details

Title	Ms
First Name	Jillian
Surname	Donaldson
Gender	F
Date of Birth	15/11/1949
Age Last Birthday	71

Employment Details

Employment Status	Retired
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Estate Planning

	Jillian
Do you have a Current Will?	Yes
Do you have Current Powers of Attorney?	Yes
Do you have a Testamentary Trust?	No

Your Investor Risk Profile

The following section of your plan helps to ensure that I clearly understand your attitude to investment selection. Additionally, investments contain various characteristics, which may or may not suit each individual investor.

In light of your age and preference to preserve your capital whilst generating sufficient cash flow, we suggest that a **Moderately Conservative** asset allocation should be considered for future investments.

Typically, a **Moderately Conservative** investor has the following characteristics:

- The Moderately Conservative investor seeks a diversified portfolio with a balance of defensive and growth assets.
- This requires an investment time horizon of between 3 – 5 years.
- The portfolio would include a high portion of income bearing securities such as cash and fixed interest, with a small exposure to equities and property providing appreciation potential.

A Moderately Conservative investor will typically diversify their investment in the following manner:

Australian Shares	24%
International Shares	14%
Fixed Interest	38%
Property	10%
Cash	14%

Our research indicates that long term returns will be best achieved through a diversified portfolio covering all major asset classes (i.e. Cash, Fixed Interest, Shares and Property).

By covering all primary investment markets, the risks and volatility of your investments can be managed to levels consistent with your investment profile, whilst maintaining the potential for long term growth. Any recommendation will be based on your risk tolerance, while in balance with your goals and objectives.

Strategy Recommendation

Current Superannuation Structure

Jill, you have the following superannuation funds:

1. ESS Super Defined Benefit Revised Pension Scheme
 - Pays a fortnightly pension of \$574.82
 - Pension has a CPI increase twice per year
 - Pension is payable for life
2. Uni Super Defined Index Pension
 - Pays a monthly pension of \$1,181.24
 - Pension has a CPI increase twice per year
 - Pension is payable for life

Your total income stream is therefore outlined below:

ESSS - \$574.82 per fortnight = \$14,945.32 PER ANNUM

Uni Super - \$1,181.24 per month = \$14,174.88 PER ANNUM

TOTAL \$29,120.20 PER ANNUM

Recommendation:

- As both of these funds are defined Benefit Pensions that provide you with indexed lifetime pensions, it is recommended to maintain these.

Investments Currently Outside of Superannuation

Jill, you have sold your investment property in Clifton Hill for \$565,000. After taking into consideration approximate costs (\$25,000) and tax on capital gain (\$75,000), you have surplus funds of approximately \$465,000.

- You seek advice with respect to the most appropriate investment vehicle for these funds.
- You wish to generate an annual income of \$18,720 to replace the rental income you were previously receiving and maintain your current lifestyle.

Recommendation:

- Commence a Colonial First Choice Wholesale Investment Fund with **\$465,000** to be invested in a diverse portfolio with a focus on income via distributions.

Asset Allocation

Based on a **'Moderately Conservative'** portfolio we would suggest that the funds be invested in the following manner:

Investment	Asset Class	Amount	% of Total Portfolio	Benchmark	Deviation
CFS WS Managed Fund	Cash	\$ 37,200	8%	14%	-6%
	Fixed Interest	\$204,600	44%	38%	+6
	Aus Equities	\$111,600	24%	24%	0%
	Property	\$46,500	10%	10%	0%
	Int Equities	\$65,100	14%	14%	0%
		\$465,000	100.00%	100%	

Colonial First Choice Wholesale Investment

We recommend the funds to be invested in a tailored portfolio within the Colonial First Choice Wholesale Investments Platform. The specific underlying funds recommended below have been selected based on:

- Providing an overall 'Moderately Conservative' portfolio
- An emphasis on funds whose aim is to provide income (via distributions), together with capital growth
- Diversification within asset classes
- Provision of 2 years' replacement rental income within the Cash account

The specific underlying funds that make up this portfolio would be:

Asset Class	% of Portfolio	Value
Pendal Wholesale Australia Share	8%	\$37,200
First Sentier Wholesale Aust. Small Companies	8%	\$37,200
Colonial First State Wholesale Index Australian Share	8%	\$37,200
Colonial First State Wholesale Index Global Share	14%	\$65,100
Pendal Wholesale Property Investment	5%	\$23,250
Colonial First State Wholesale Index Property Securities	5%	\$23,250
Colonial First State Wholesale Index Australian Bond	44%	\$204,600
First Sentier Wholesale Cash Fund (Strategic Cash)	8%	\$37,200
	100%	\$465,000

Benefits:

- Your funds will be invested in a manner that aims to provide you with sufficient income
- The Colonial Platform offers flexibility in terms of offering access to in excess of 100 underlying funds that can be incorporated into your portfolio
- The underlying funds are actively managed by a diverse range of fund managers
- You will receive ongoing advice and reporting

Cash Flow

In order to generate an income of **\$18,720 p.a.** without eroding any of your capital, the managed fund portfolio would need to achieve a return of this amount. This equates to an **investment return of 4.03% p.a.** on a \$465,000 portfolio.

The historical performance[^] of the proposed portfolio is detailed in the table below:

Colonial First State Wholesale Investment Fund	Portfolio %	1 year	3 years (p.a.)	5 years (p.a.)
Pendal Wholesale Australia Share	8%	27.46%	9.72%	10.50%
First Sentier Wholesale Aust. Small Companies	8%	31.75%	14.89%	13.96%
Colonial First State Wholesale Index Australian Share	8%	25.32%	9.75%	9.85%
Colonial First State Wholesale Index Global Share	14%	17.97%	12.15%	11.40%
Pendal Wholesale Property Investment	5%	22.43%	8.47%	6.29%
Colonial First State Wholesale Index Property Securities	5%	21.42%	5.83%	4.75%
Colonial First State Wholesale Index Australian Bond	44%	-1.29%	3.25%	2.50%
First Sentier Wholesale Cash Fund (Strategic Cash)	8%	0.27%	0.91%	1.22%
	100%	10.92%	6.67%	6.09%

[^] Performance figures are net of MER for the managed fund options as at 31/05/21.

- Over the past 5 years, the recommended portfolio has achieved average returns of **6.09% p.a.**
- For a portfolio with a balance of \$465,000 this equates to \$28,318 p.a.
- It is therefore reasonable to suggest, based on historical returns, you should be able to draw down sufficient income to replace your lost rental income without eroding any of the capital.
- Based on the historical returns, it is not unreasonable to expect an increase in the capital value over time, whilst continuing to draw down the income required to maintain your current lifestyle.

Colonial FirstChoice Wholesale Investments

The FirstChoice Investments is a multi-manager investment solution which combines wide investment choice with a competitive and simple fee structure, backed up by a high standard of service support from Colonial First State.

A minimum total investment of \$5,000 (\$1,500 for super) is required to establish an account in FirstChoice Investments. A \$1,000 minimum initial balance is required if a regular investment plan is set up at commencement of the account. The minimum regular investment plan amount is \$100 per month.

Reasons and Benefits

The major features of the Colonial FirstChoice Investments are as follows:

Sector Specific Diversification

A strong range of investment options with access to more than one specialist manager within each asset class. This approach captures the competitive advantages of each manager. We anticipate this will provide higher returns than can be obtained from using diversified funds with, say, only one fund manager.

Simplicity

Consolidated reporting from Colonial First State.

Ease of Management

Automatic investment re-balancing and switching to help you easily and conveniently keep your investment strategies on track.

- We recommend that annual automatic rebalancing is elected.

Highly competitive and simple to understand fee structure

- No entry fee applies to this investment however, with your agreement; your Financial Adviser may wish to charge a one-off fee for upfront costs.
- You can agree with your Financial Adviser to have an ongoing Adviser Service Fee for advice paid directly from your investment. The ongoing fee will be deducted monthly from your investment options.
 - Our Adviser Service Fee is 0.40% p.a.
- No switching fees or exit fees apply to this investment.

Colonial FirstChoice Management Fee

Colonial FirstChoice charges a Management Expense Ratio to cover their administration costs and the associated costs of managing your funds. Based on your proposed portfolio value, we have provided an estimation of the costs you will pay.

Colonial FirstState FirstChoice Investments	MER %	Amount invested ① \$	Estimated fee \$
Pendal Wholesale Australia Share	1.19%	\$37,200	\$442.68
First Sentier Wholesale Aust. Small Companies	1.38%	\$37,200	\$513.36
Colonial First State Wholesale Index Australian Share	0.34%	\$37,200	\$126.48
Colonial First State Wholesale Index Global Share	0.35%	\$65,100	\$227.85
Pendal Wholesale Property Investment	1.21%	\$23,250	\$281.33
Colonial First State Wholesale Index Property Securities	0.34%	\$23,250	\$79.05
Colonial First State Wholesale Index Australian Bond	0.34%	\$204,600	\$695.64
First Sentier Wholesale Cash Fund (Strategic Cash)	0.44%	\$37,200	\$163.68
Total ongoing fees ①	0.54%	\$465,000	\$2,530.07

- ① Colonial FirstChoice's Management Fee is calculated on the value of your total portfolio. As such we have used your proposed portfolio to estimate your annual ongoing fee.

What is paid to your adviser

Plan Fee

You have agreed to a fixed fee of \$2,500+GST p.a. for the preparation and presentation of this Statement of Advice, along with implementation of your investment portfolio.

Upfront and Ongoing Fee Disclosure

The following is provided to assist you to gain a clear understanding of the payments and benefits that Pareto Group Pty Ltd, our associates and I will be entitled to receive for services provided to you, if you adopt the recommendations in this plan.

		Total Fee Paid by Client		Total Payable to Financial Service Licensee/Financial Adviser and /or its Associates			
Investment Details	Amount Invested	(%)	(\$)	Initial (%)	Initial (\$)	Ongoing (%)	Ongoing (\$)
Colonial FirstChoice Wholesale Investment	\$465,000	Flat Fee	\$0	Flat Fee	\$0	0.40%	\$1,860

* The ongoing investment amount has been annualised to provide you with a clear picture of how fees are paid from your investment. Any regular contribution is placed into the individual underlying funds according to the % split of the allocation of your original investment.

The Ongoing Fee is the way we charge for the ongoing service that we provide. If at any time you wish to discuss this you can do so.

I am an authorised representative of Pareto Group Pty Ltd (ABN 11 155 278 078), which holds an Australian Financial Services Licence (AFSL #418700).

Disclosure Statement

To help you understand the full benefits, details and risks of our recommended products, please read the Product Disclosure Statements that we will provide you.

Please let us know if you have any questions.

Cooling-off periods

After investing in a financial product, you have a “cooling-off” period in which to change your mind if you don’t think the product meets your needs. The cooling-off period usually starts when you’re told the product has been set up. The length of the period varies with each product.

Each Product Disclosure Statement explains your cooling-off rights.

If you wish to cancel a product, please tell us in writing so we can contact the product issuer within the time restrictions.

No guarantee

The investments we recommend for you must be appropriate for you. However, we don’t guarantee they’re the best available or that they’ll perform in a particular way. Product performance depends on the features and risks described in the Product Disclosure Statements given to you.

Please take the time to read the PDS and understand the products we have recommended. If you have any questions, please contact us.

Tax

There will be tax implications if you act on this advice. We recommend you ask a tax professional to assess the impact on your short and long-term financial positions.

Are My Product Recommendations Restricted?

Non Superannuation Products

Yes, when making non superannuation product recommendations I can only choose products from our Approved Product List (APL). This list is compiled by a dedicated Investment Committee, made up of Research Manager, Directors and Representatives who carefully analyse investment products, prior to including any product on the APL. The Committee utilises leading industry research houses to assist with their analysis.

The APL is regularly reviewed to ensure that all funds, managers and investment companies continue to meet our ongoing stringent requirements.

Superannuation Products

Yes, when making superannuation product recommendations I can only choose products from our Approved Product List (APL). However, if you have a superannuation product that is not on our APL, I am still able to make recommendations in relation to that fund providing I have conducted the necessary research and have a thorough knowledge of the fund.

What is My Responsibility to You?

I am responsible for providing you a 'clear, concise & an effective' method of communicating my recommendations to you. The recommendations are based on your goals and objectives, personal and financial situations, and other information collected from you. The recommendations are appropriate for your needs and current situation.

As the SoA is specifically prepared for you and based on your situation, I do not take any responsibility for any third party persons acting on all or on a part of any advice or recommendations made in this SoA.

Do I Guarantee the Investments I have recommended?

No. By law, the investments I have recommended must be appropriate to you, however, I do not guarantee that the recommended investments are the best for you or that they will perform in a certain way.

Your Financial Plan

In preparing this plan we have taken into account your specific goals and objectives, and have designed an appropriate strategy that aims to accomplish these.

It is important to appreciate that we live in an ever changing world. Accordingly, it is probable that, overtime, the basis of our calculations (inflation rates, investment rates etc) will change, as will your own requirements and expectations. It is therefore recommended you review your plan on a regular basis to ensure you are still on track to achieve investment objectives.

It is essential to have your investment portfolio reviewed to ensure that the investments are working to their maximum potential and any changes to the investment markets, taxation etc. are promptly and correctly responded to.

Next steps

How to get started

To implement our recommendations in this plan, please do the following:

- Make sure you read this Statement of Advice and Product Disclosure Statements
- Contact us if you have any questions
- Tell us immediately if any information is incorrect
- Complete the application forms in the Product Disclosure Statements
- Sign and date the Authority to Proceed
- Return the forms to us
- Retain a copy for your records

Finally

Please note, as with any investments, their future value may fluctuate, particular rates of return cannot be guaranteed and you may not get back what you originally invested. We have provided a brief summary of the managed investment products recommended, however, you will need to study the investment statements of the recommended products carefully before you decide to invest.

Authority to Proceed

I, Jillian Donaldson, of
210 Nepean Highway
Aspendale VIC 3196

State that:

I have read and understood the Financial Plan presented to me by **Andrew Lord B Bus (Acc)**, Dip FS (Fin Plan) from Pareto Group Pty Ltd, and authorise him to proceed with the recommendations as outlined below:

Investment	Amount
Colonial FirstChoice Wholesale Investment	\$465,100

All fees and charges have been explained to me.

I authorise **Andrew Lord B Bus (Acc)**, Dip FS (Fin Plan) to act in his capacity as our Financial Adviser regarding this investment and to act on our instructions provided by (tick whichever is applicable):

☐ Facsimile

☐ Email

☐ Writing

I acknowledge that:

- I have received and read a Financial Services Guide.
- I have provided all information to the best of my knowledge for the preparation of this Statement of Advice.
- My adviser is not a taxation adviser, and estimates of tax positions are estimates only. We should seek advice from a registered tax agent for taxation advice.

☐ I accept the recommendations made in this Report and give authority to Pareto Group Pty Ltd ABN 11 155 278 078 to proceed with the implementation of those recommendations.

Modifications to recommendations requested by client

Signed: _____
Jillian Donaldson

_____/_____/_____
Date

Signed: _____
Andrew Lord
B Bus (Acc), Dip FS (Fin Plan)

_____/_____/_____
Date

Appendix B – Fund Profiles

Appendix C – Lonsec Reports
